Wapic Insurance Plc.

HY 2016 Financial Results Presentation to Investors & Analysts

August 9, 2016

Presenters

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Dayo Arowojolu
Managing Director, Wapic Ghana Ltd.

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Executive Director, Sales & Distribution

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Seyi Taiwo
Chief Financial Officer

Zina Y. Giwa-Amu
Strategy & Investor Relations

MOOV

Protect your vehicle
the smart way.

Speaker Topics

About Wapic

Operating Environment

Regulatory Environment

Financial Overview

2016 Outlook

Creating sustainable value

3 Operating entities

154 Professional Staff

13.4 Billion ordinary shares of 50 kobo each in issue

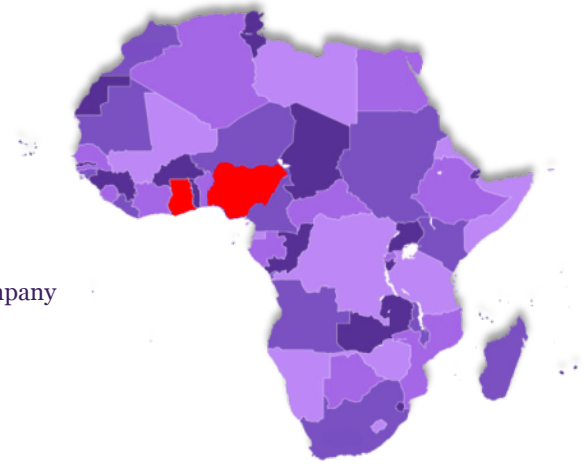
6 Regional offices in Nigeria (Abuja, Benin, Enugu, Ibadan, Kano, Port Harcourt)

N26billion Portfolio

850,000+ Shareholders

WAPIC Insurance Plc.
(Quoted on the NSE)

- WAPIC Life Assurance Limited
- WAPIC Insurance (Ghana) Limited
- **1** Associated Company: CORONATION MERCHANT BANK Limited



Presence	• **Nigeria and Ghana**
Listings	• **Nigerian Stock Exchange** • **GDR Depositary Bank - Bank of New York, Mellon**
Rating (AM Best)	• **B- (Financial Strength Rating/Stable Outlook)** • **bb- (Issuer Credit Rating/Stable Outlook)**
Actuaries	H R Nigeria Limited; ALEXANDERFORBES
Re-insurers	Munich RE; AFRICA RE; CONTINENTAL REINSURANCE; WAICA RE; Ghana Re; Nigeria Reinsurance Corporation; [redacted]
Auditors	• PwC

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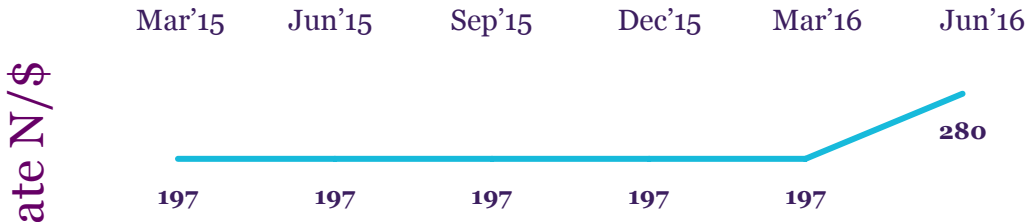
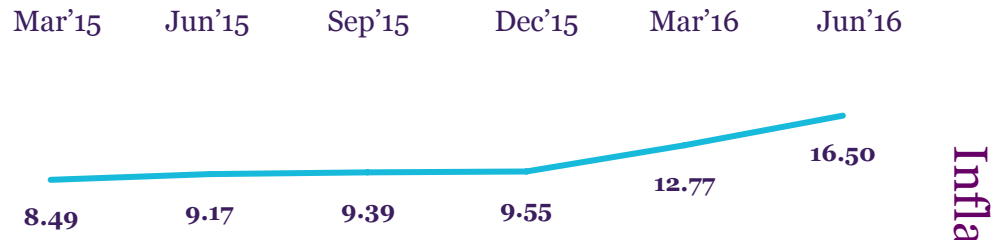
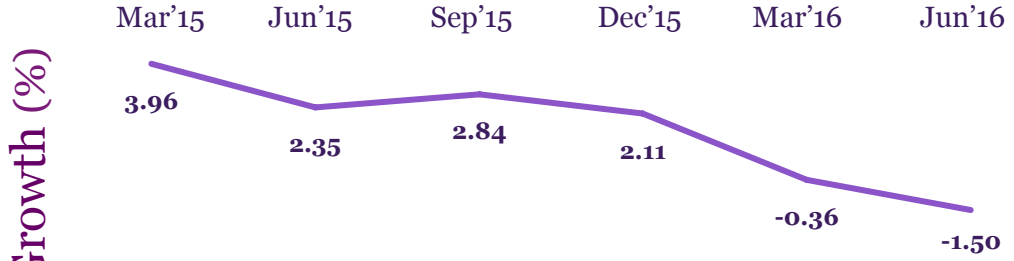
Operating environment



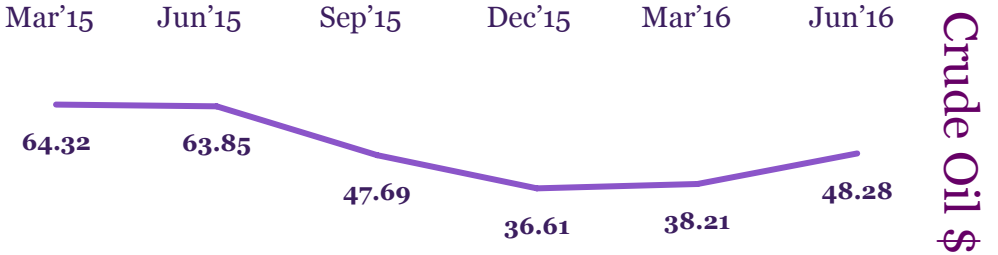
The CBN officially floated the currency in June 2016. The Naira opened in the market at N280/$ and sold at N282/$ at the end of Q2.



Inflation grew to 16.5%, the highest is 11 years- about 6.6% higher than the 9% target ceiling of the CBN. This is driven largely by energy, food prices and imported items. Although headline inflation has been on a rapid increase, it is expected to stabilize in 2016 before retreating to lower levels.



The pace of GDP growth weakened from 2.11% in Q4 2015 to -0.36% in Q1 2016 marking the first contraction in 13 years. This has been attributed to persistent energy shortages as well as the delay in passing the 2016 fiscal budget. A further contraction is expected in Q2 2016 which officially implies that the economy is in a recession.



Oil prices increased by 21% to $48.28 per barrel at the end Q2 2016. Oil prices rose to almost $54 per barrel during the quarter as a result of supply side shocks most notably supply disruptions in Canada, Iraq and Nigeria as well as Russia's agreement with OPEC.

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Regulatory environment

NAICOM is expected to release a draft of the Risk-Based Supervision (RBS) to insurance industry operators. The model will ride on the Solvency 2 supervisory principle in regulating the industry operators' activities. The RBS approach considers the risks companies face and identifies those that are most critical to the financial viability of the company through a structured process.

NAICOM commenced the implementation of guidelines on the Code of Good Corporate Governance 6 years after it was first announced. According to the guidelines on the composition of the board of directors of insurance companies "without prejudice to the provisions of CAMA, non-executive directors shall not be re-nominated and appointed for more than three terms of three years each."

To protect policyholders and the general public, NAICOM affirmed that the establishment of underwriting terms and conditions for all aviation and associated risks must be the responsibility of insurers transacting in Nigeria.

CBN introduced a new Floating Rate Policy for the Naira in June 2016; with low export foreign currency revenue, a depreciation in the Naira was immediately triggered. In addition, insurers are denied the option of sourcing for foreign exchange from the Interbank markets for reinsurance and claims commitments.

PenCom has entered an era of total enforcement - enforcement of compulsory remittance laws against establishments that deduct salaries of staff and fail to remit same to the designated pension managers, as well as employers that have failed to establish a pension account.

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Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

NGN million

		HY'16	HY'15		%Δ
Earnings	Gross Written Premium	4,489	4,014	↑	+12
	Net Underwriting Income	2,365	2,005	↑	+18
	Total Underwriting Expenses	2,098	1,173	↑	+79
	Underwriting profit	267	832	↓	-68
	Net Investment & Other Income	1,337	1,003	↑	+33
	Expenses & Provisions	1,922	1,726	↑	+11
	Profit before Tax	368	109	↑	+238
	OPEX ratio	42.8%	43%	↓	-0.4%
	Net claims ratio	63%	31%	↑	+102

		HY'16	FY'15		%Δ
Financial Position	Financial Assets	7,233	4,313	↑	+68
	Reinsurance Assets	2,422	923	↑	+163
	Total Assets	26,158	23,695	↑	+10
	Total Liabilities	10,587	8,732	↑	+21
	Shareholders' Funds	15,561	14,962	↑	+4
	ROA	1.4%	7.0%	↓	-80
	ROE	1.1%	8.7%	↓	-88

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Income statement review

NGN million

	HY'16	HY'15	%Δ
Gross Written Premium	4,489	4,014	+12
Reinsurance expenses	1,376	933	+48
Net claims expenses	1,349	568	+138
Underwriting expenses	749	606	+24
Underwriting profit	267	832	-68
Investment income	523	786	-33
Other operating income	814	198	+311
Operating expenses	1,922	1,726	+11
Profit before tax	368	109	238

Highlights

- GWP increased by 12% to N4.5bn in HY'16 up from N4bn in the prior period last year.
- Reinsurance expenses grew by 48% due to premium growth and increase in facultative reinsurance to balance exposure, particularly in general accident and oil and energy businesses. Further impact came from the effect of foreign currency movement in settling reinsurance payments.
- The 138% uptick in Net Claims Expenses came as a result of a rise in claims paid for the period, and the need to maintain an adequate IBNR reserve which grew at about 25% for the period.
- Although Investment income was adversely impacted by the poor conditions in market rates for the period, other operating income increased significantly due to gains in fair value of the Group's foreign exchange investments.
- Underwriting profit was impacted primarily by the high claims payout experience for the period from one-off incidents. Wapic is committed to its promise of a top-notch claims experience.
- In spite of the adverse operating environment, the Group returned profit of N368m in HY'16 up from N109m in HY'15. This represents a 238% increase from the prior period, largely driven by the strategic diversification of income stream.

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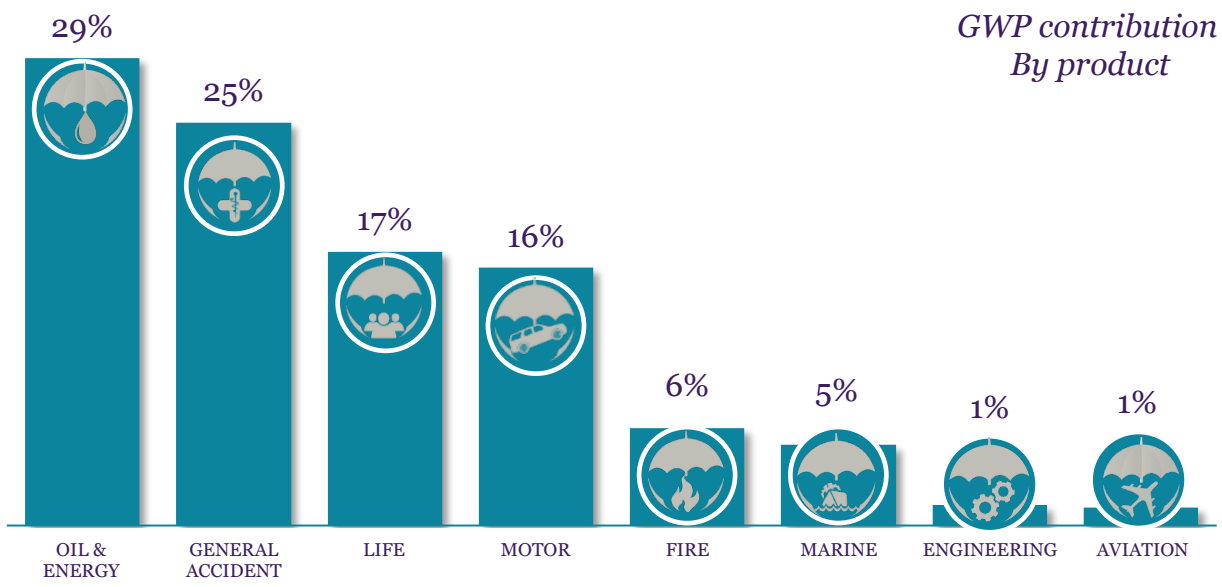
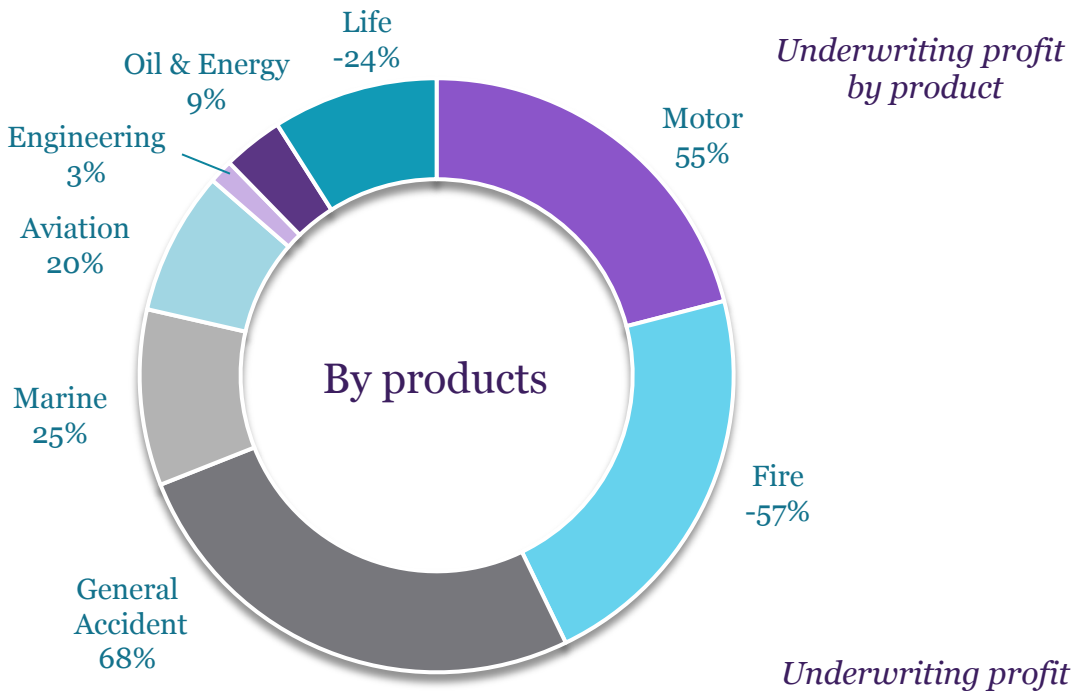
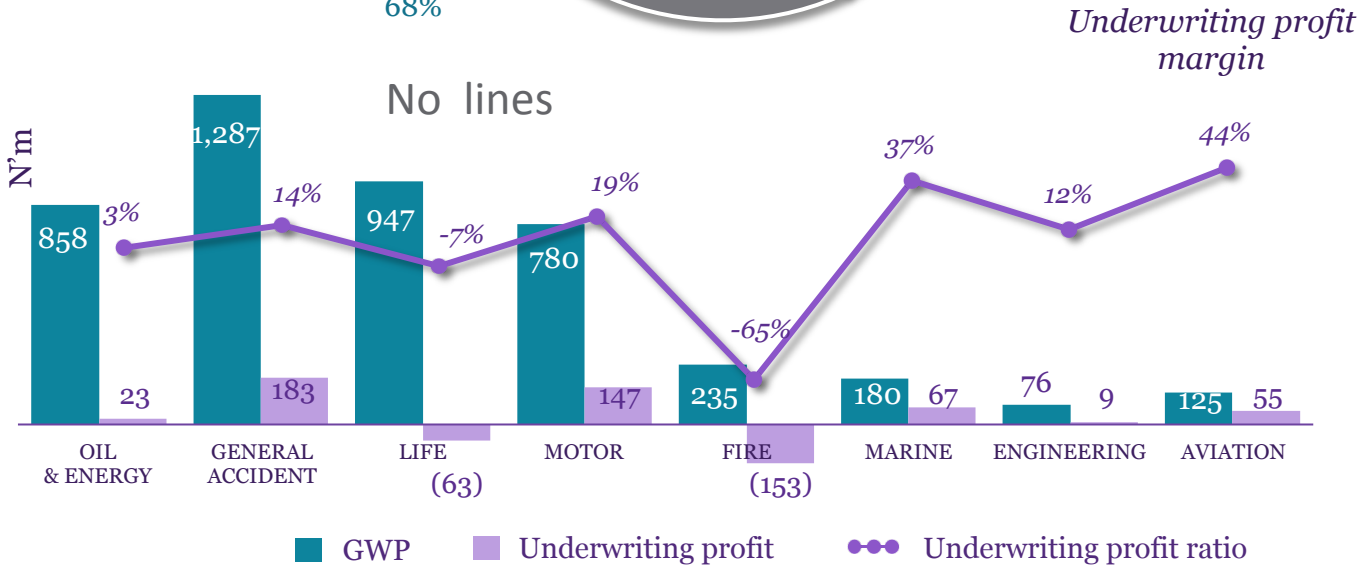
Product performance





Highlights

- Oil & energy and General Accident are the top two products for the period at 29% and 25% GWP contribution respectively, followed by Life and Motor.
- General accident is the Group's most profitable product at HY'16, contributing 68% of the total underwriting profit. It is followed by Motor Vehicle at 55% as the MOOV product innovation continues to pay off.
- The huge claims experience for the period had an impact on the underwriting profit ratios with the Life and Fire products negatively affected.



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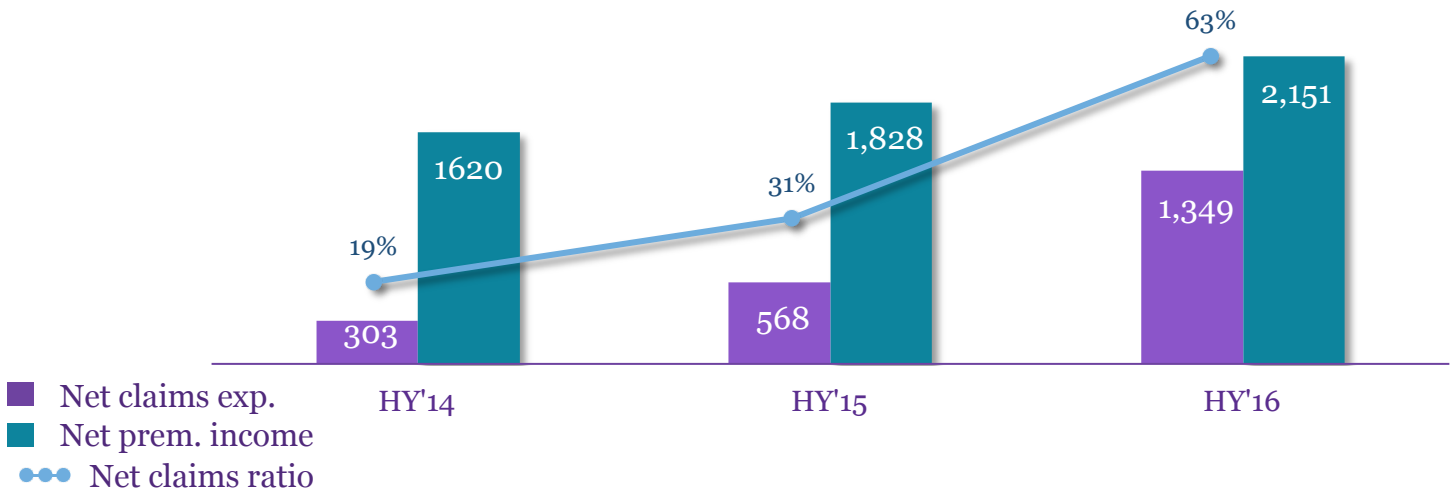
Group expenses

NGN million

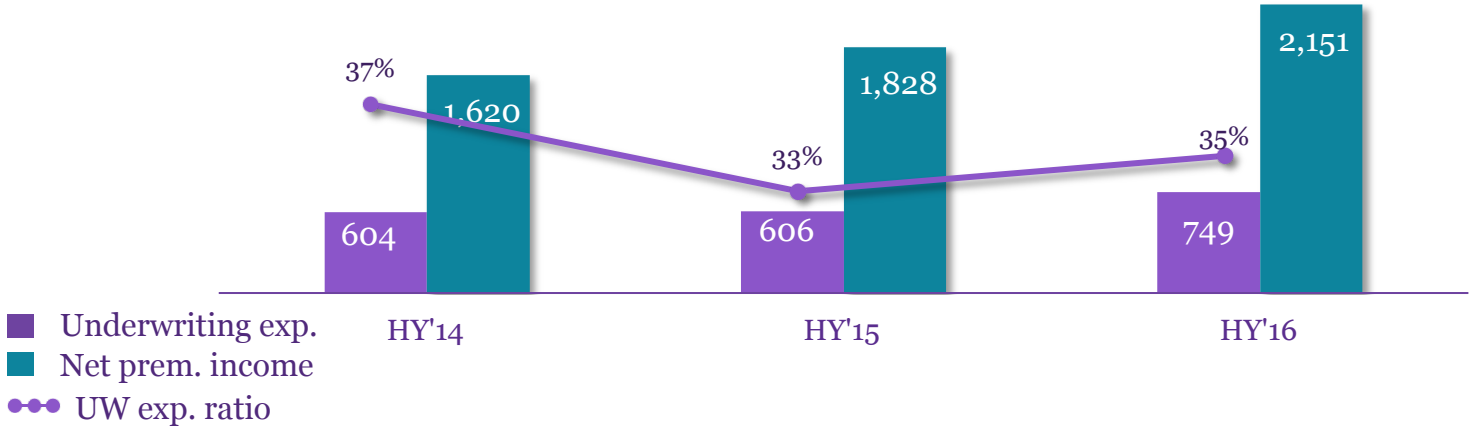
Net claims expenses

- Net claims expenses grew by 138% y/y to close at N1.3bn in HY'16 (HY'15, N568m). Legacy Oil & Gas and Marine Hull claims were validated and paid in the first half of the year.
- Following the increased claims experience, net claims ratio grew by 103% y/y to 63%. The Group remains committed to the prompt settlement of all genuine claims; however, an improvement is expected in the second half of the year.



Underwriting expenses

- Underwriting expenses rose by 24% y/y from prior period's position to N749m in HY'16. As we optimize underwriting to suit claims experience, our reinsurance expenses are expected to decline.
- Underwriting expense ratio increased slightly by 6% y/y to 35% in HY'16 (HY'15, at 33%)



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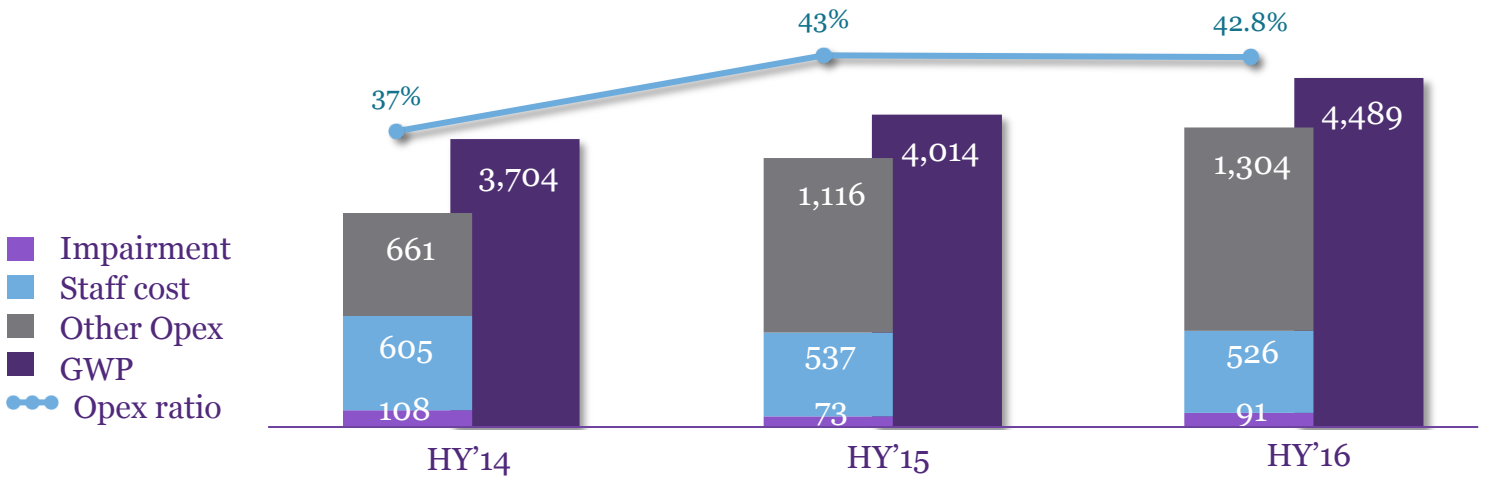
Group expenses

Operating expenses

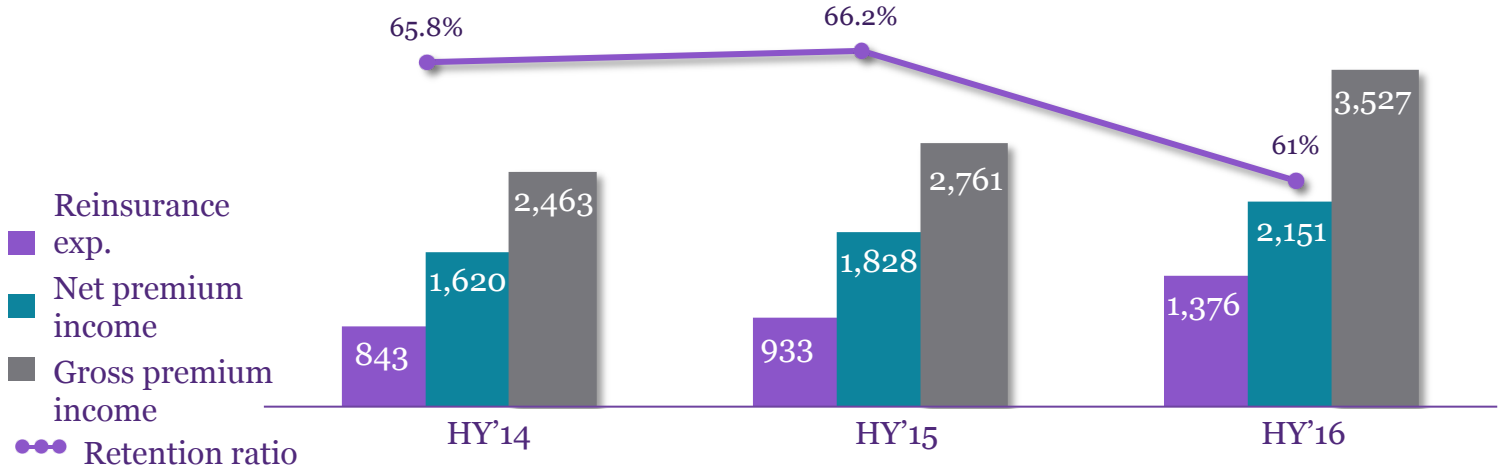
- Operating expenses rose by 11% y/y to N1.9bn in HY'16 (HY'15, N1.7bn). Average inflation rate in Nigeria in the period was 13.27%, and in Ghana 18.78%.

- Key expense items:
  - Brand equity development, particularly in the retail segment, through increased marketing activities.
  - Upgrade of technology solutions as a foundation to our business continuity and enhancement of service delivery and overall customer experience.



Reinsurance expenses

- Growth in Reinsurance expenses by 38% to N1.4bn in HY'16 (HY'15: N933m) largely due to the increase in facultative reinsurance to balance adverse exposure on specific risks.



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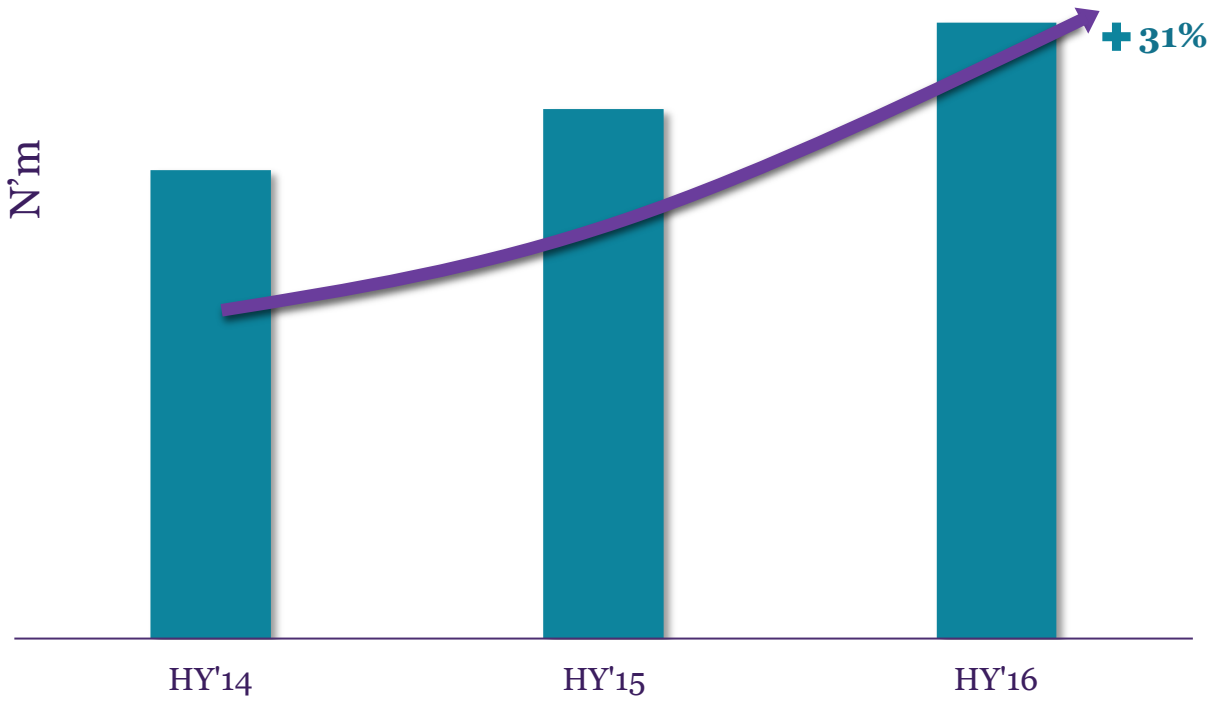
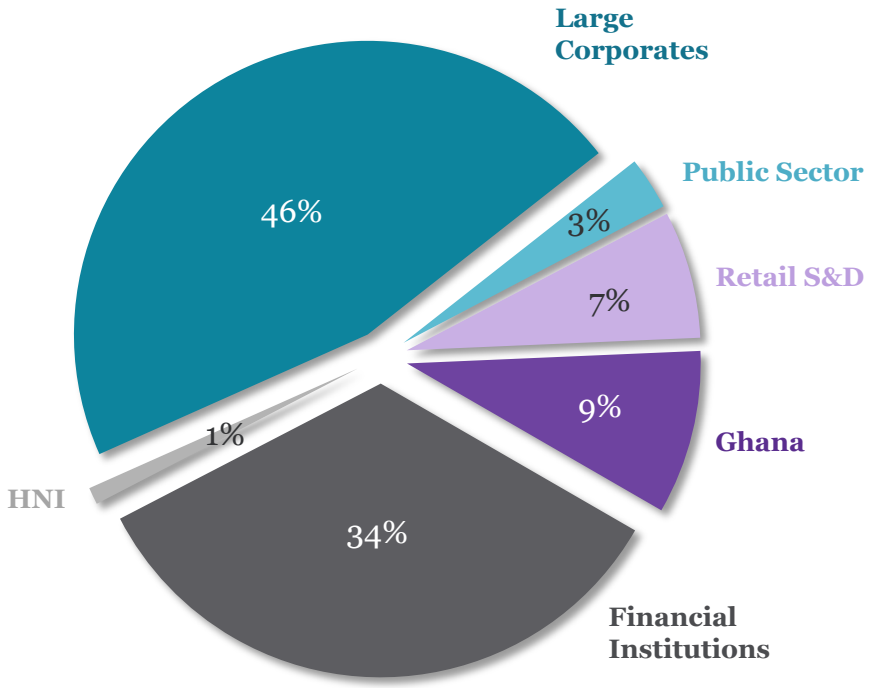
Revenue

Group Total Income



GWP contribution by Business Groups



- The Group's Total income grew by 16% to N6bn in HY'16 (HY'15, N5.2bn)
- Wapic has repositioned sales teams for improved relationships and service delivery, a restructuring that is paying off. Wapic's Large Corporates was the largest contributor to the Group's GWP in HY'16 at 46%, followed by Financial institutions at 34%.
- Wapic Ghana's GWP grew by 23% y/y in real terms. However, its contribution to the Group's figures is at 9% for the period due to the impact of the soft Ghana Cedi.

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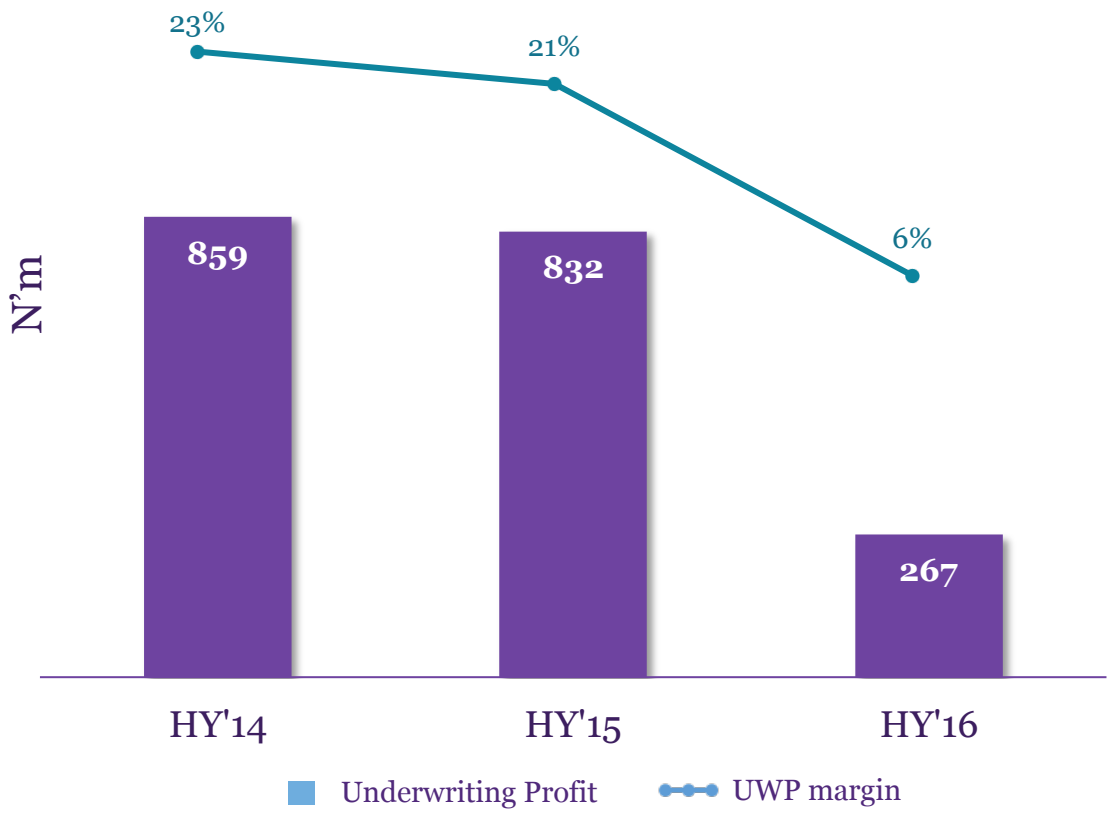
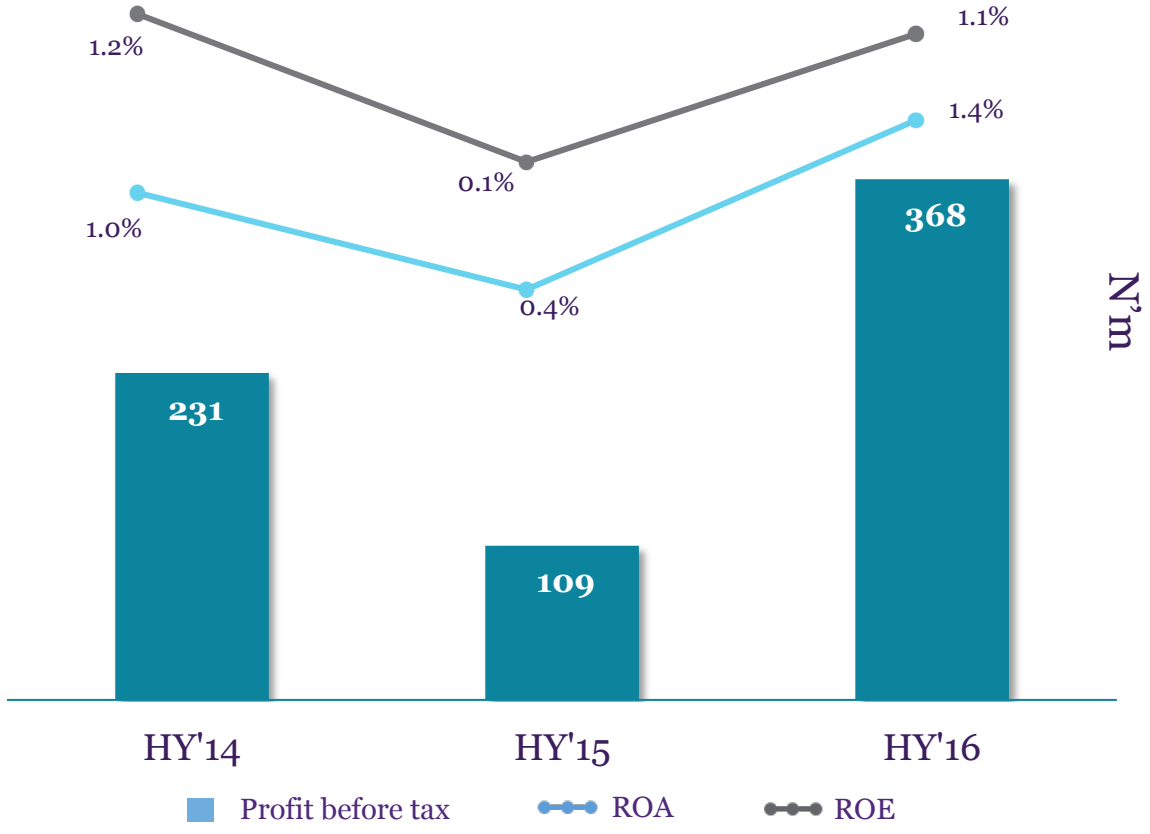
Group profit position

Underwriting profit



Profit before tax



- The Group's underwriting profit declined by 68% to N267m in HY'16 (HY'15, N832m) driving the underwriting profit margin ratio down to 6% representing a 74% drop from prior year. This was largely due to the increase in claims during the period.
- PBT grew by 238% y/y to N368m in HY'16, primarily attributable to strong returns from investment in the group's associated company, CMB.
- ROA and ROE are at positive positions of 1.4% and 1.1% respectively for the period.

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SOFP Review

Assets under Management

Statement of financial position

NGN million	HY'16	FY'15	%Δ
Cash and cash equivalents	3,159	7,054	-55
Financial assets	7,233	4,313	+68
Reinsurance assets	2,422	923	+162
Trade receivables	261	552	-53
Other receivables & Prepayment	1,885	1,224	+54
Investment properties	676	675	0.2
Investment in associate	6,085	5,244	+16
Fixed assets and intangibles	2,920	2,410	+21
Other assets	1,507	1,300	+16
Total assets	**26,148**	**23,695**	+10
Trade payables	127	211	-40
Provisions & other payables	2,166	2,497	-13
Current income tax liabilities	188	152	+23
Insurance contract liabilities	6,904	4,677	+48
Investment contract liabilities	1,201	1,196	0.4
Total liabilities	10,587	8,732	+21
Equity	15,561	14,962	+4
Total equity & liabilities	**26,148**	**23,695**	+10

Highlights

- Cash and cash equivalents dipped (due to low returns in the money market during the period) by 55% from its FY'15 position as we took advantage of higher yielding assets.
- Trade receivables (outstanding premiums on broker-related businesses written during the period), is at N261m, a 53% reduction from its FY'15 position. Our Trade receivables are being tracked in line with NAICOM guidelines
- Other receivables and prepayments increased by 54% compared to its FY'15 position with prepaid expenses and outstanding proceeds on investments accounting for a larger chunk of the growth.
- Trade payables dropped by 40% in HY'16 driven by improved reinsurance obligations settlements in line with guidelines.
- Insurance contract liabilities increased by 48% from FY'15, following a growth in GWP during the period, highlighting the need to maintain adequate reserves.

Note

Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

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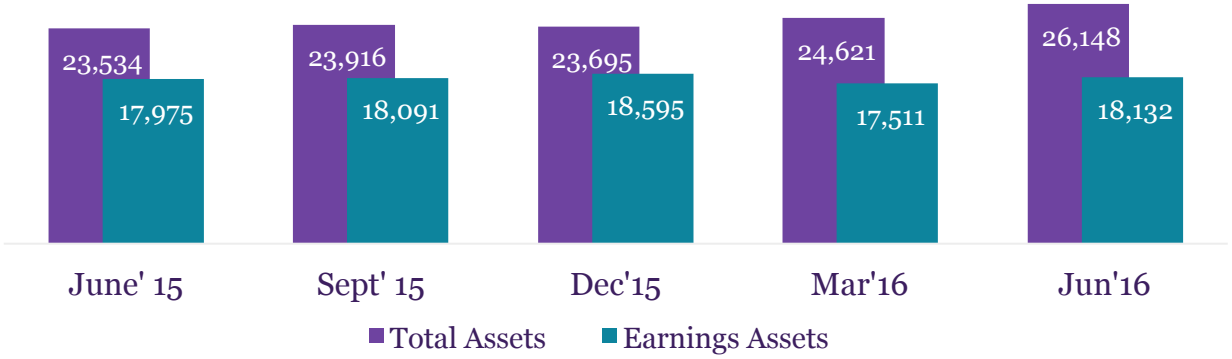
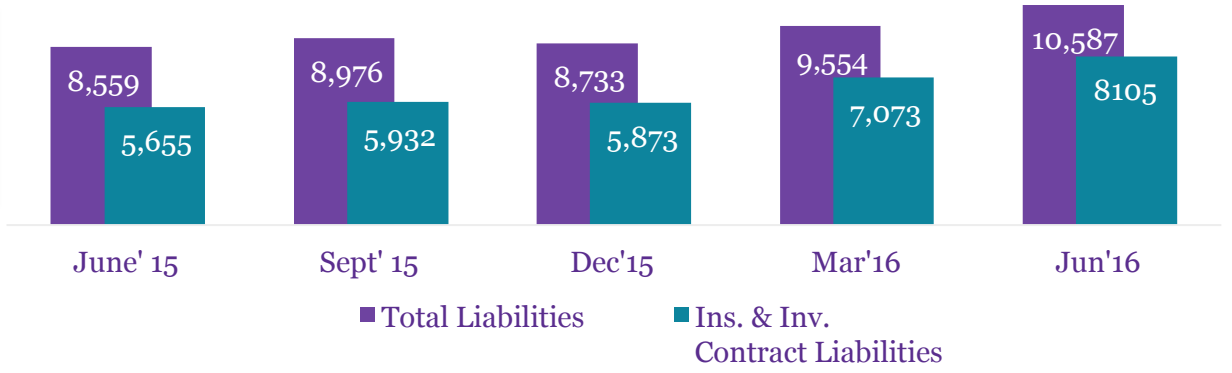
Highlights of financial position

NGN million

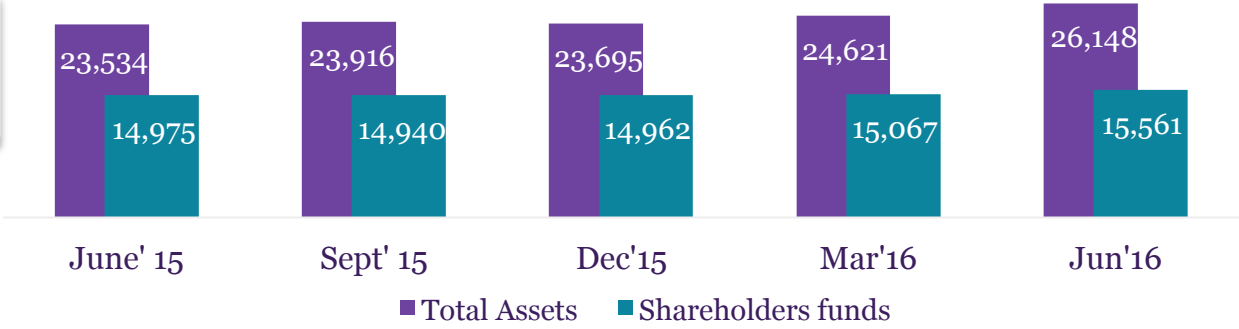
Total Assets & Earnings Assets



Insurance & Investment Contract liabilities to Total Liabilities



Total Assets & Shareholders Funds



Highlights

- Earnings assets to Total assets ratio dropped by 13% from the FY'15 position to 68% in HY'16, while the Group's Total assets increased by 11% to N26bn for HY'16 (FY'15, N24bn)
- Insurance and Investment contract liabilities stood at N8.1bn representing a 38% growth from the FY'15 position of N5.9bn, largely due to an increased IBNR reserve for the period.
- Total liabilities grew by 21% to N10.6bn in HY'16 when compared to the FY'15 position, mainly resulting from the growth in Insurance contract liabilities recorded for the period.
- The Group's Shareholders funds grew 4% increase to N15.6bn in HY'16 (FY'15, N14.9bn).

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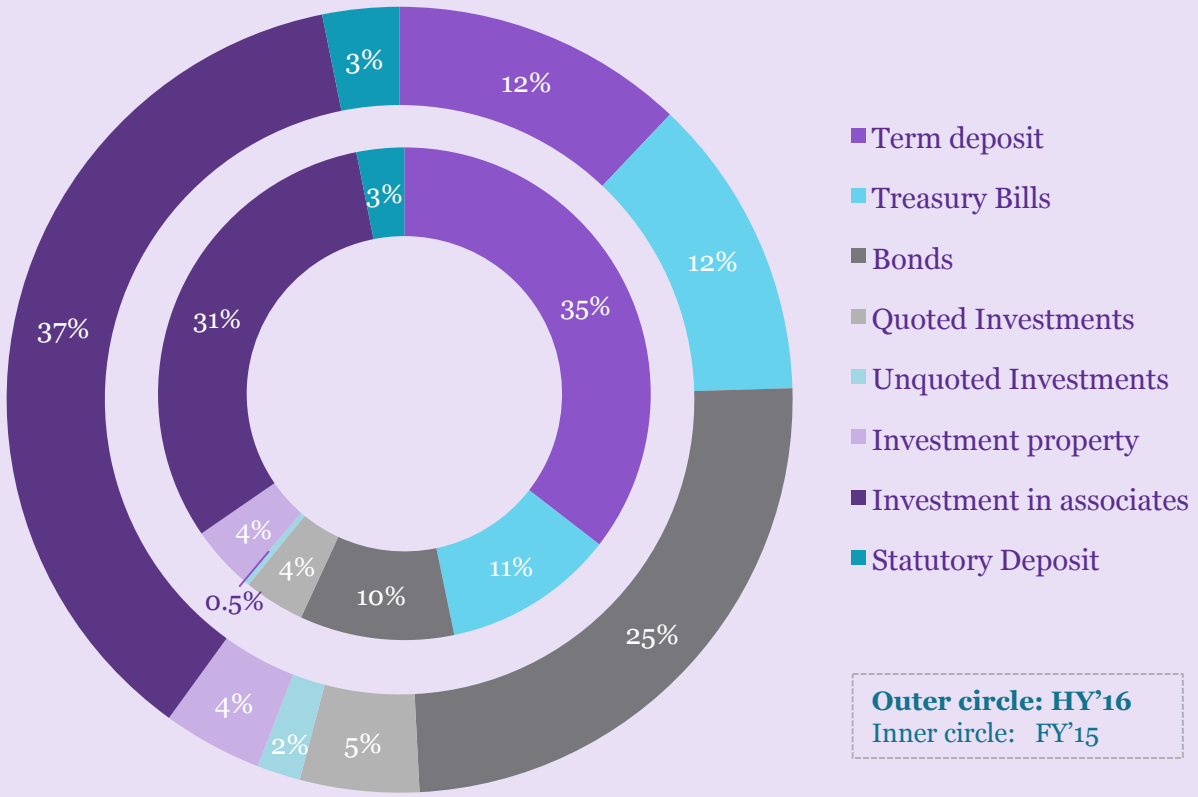
Assets Under Management

Assets under management

NGN million

	HY'16	FY'15
Term Deposits	1,994	5,912
Treasury Bills	2,057	1,880
Bonds	4,071	1,689
Quoted Investments	809	668
Unquoted Investments	76	76
Investment Property	676	675
Investment in Associate	6,085	5,244
Statutory Deposit	522	522



- Investment strategy comprised investments in high performing associates and subsidiaries as well as foreign exchange denominated fixed income instruments. This year, we seek to fully exit our underperforming legacy property portfolio.
- Treasury bills and money market deposits had lower yields than the same period last year; however, investments in Associated companies and securities compensated for this dip.
- Foreign exchange securities in the period recorded significant positive gains from Naira currency adjustments.
- We expect topline growth of 30% YoY in line with our growth expectations.

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How we build for the future

FINANCIAL

- We are committed to growing capital internally. This is key given the expectations of an increase in regulatory capital requirements.
- We expect to maintain industry leading premium growth rates as well as to break into the ranks of top-10 regional underwriters in terms of market share in the medium term.
- We shall maintain a continuous focus on cost optimization in order to meet the target cost-to-income ratio.

OPERATIONAL

- We have established a sponsored Global Depository Receipt program with the Bank of New York Mellon. We expect that this will enhance shareholder access to global capital markets and lead to greater awareness.
- We are finalizing plans to adopt a HOLDCO structure for our business. We believe the adoption of this structure will better position us to achieve long term strategic growth objectives.
- We have optimized our reinsurance processes to reduce underwriting expenses.
- Implementation of a core application to enhance service delivery and overall customer experience

SALES

- Wapic Insurance Ghana has partnered with Access Bank Ghana to launch innovative insurance products for retail banking consumers in Ghana in our strategic drive to transform the retail insurance industry.
- With strategic investments in understanding our customers' needs, we have revamped our retail products portfolio to deepen our market reach in the retail insurance space.
- We are expanding our agency sales structure and solidifying our direct sales business strategy for topline growth.
- We will intensify customer acquisition across retail channels and subsidiaries.

PEOPLE

- We are committed to becoming a great place to work, building future champions, transforming economies and investing in our communities.
- The Wapic Academy recently graduated a class of top-notch students who have been deployed to core areas of our business in Ghana.
- With the implementation of our Talent Optimization Framework, we expect greater role clarity for improved employee productivity.

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Thank you

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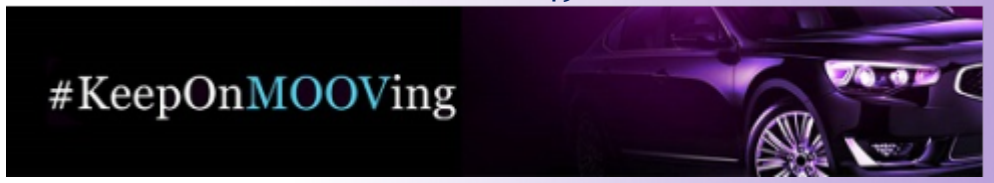

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Phone: 012774500 /4566 /4555

Appendix

Appendix: Other Financial Highlights

NGN million

BALANCE SHEET

	HY'16	YE'15	HYoY
Total Assets	26,148	23,695	10%
Total Investments	15,964	12,563	27%
Insurance & Invt Contract Liabilities	8,105	5,873	38%
Total equity	15,561	14,962	4%
Solvency Margin	229%	250%	-8%

EARNINGS

	HY'16	HY'15	YoY
Gross Written Premium	4,489	4,014	12%
Gross earnings	6,040	5,194	16%
PBT	368	109	238%
PAT	169	19	798%

KEY PERFORMANCE RATIOS

	HY'16	HY'15
Underwriting Profit Margin	6%	21%
Loss Ratio	63%	31%
Underwriting expense Ratio	35%	33%
Combined ratio	187%	159%
Cost to income ratio	84%	94%
Pre - Tax Return on Average Assets	1.4%	0.5%
Post- Tax Return on Average Equity	1.1%	0.1%

SHAREHOLDING RATIO

	HY'16	HY'15
Share Outstanding (Mn Units)	13,383	13,383
Price (₦)	50k	50k
Market Capitalisation (N'000)	6,691,369	6,691,369

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Appendix: Group Operating Income Trend Analysis

Gross Earnings Evolution (N'm)	Q1'15	Q2'15	Q3'15	Q4'15	Q1'16	Q2'16
Underwriting Income	1,004	1,001	1,263	1,075	1,159	1,205
Non-underwriting Income	503	500	485	1,533	306	1,031

Operating Expenses (N'bn)	Q1'15	Q2'15	Q3'15	Q4'15	Q1'16	Q2'16
Employee Benefit Exp.	261	275	294	160	249	277
Other Operating Exp.	583	606	675	720	436	921

Underwriting Performance	FY'12	FY'13	FY'14	FY'15	Q1'16	Q2'16
Underwriting Exp.	16%	25%	19%	17%	11%	28%
Net Claims Exp.	43%	73%	32%	41%	42%	84%
Underwriting Margin	34%	-3%	23%	21%	12%	-6%

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Evolution Since 1958

1958 — March 14, 1958 - Incorporated as a private limited liability Company under the name of West Africa Provincial Insurance Company Limited

1978 — Became a Public Limited Liability Company & was listed on the Nigerian Stock Exchange

1997 — The Company was acquired by Intercontinental Bank Plc.

2000 — Secured a Life business license from NAICOM & became a Composite Insurance business

2007 — Separated the Life business and transferred the related assets and liabilities to Wapic Life Assurance Limited

2009 — Established Wapic Insurance Ghana Limited to transact general business

2011 — Became a subsidiary of Access Bank through Access Bank's acquisition of Intercontinental Bank Plc.

2013 — Access Bank divested through a share distribution scheme to comply with CBN directive on banking reforms

2014 — Launched new corporate identity

Secured AM Best Rating. Rated B- for financial stability and bb- for issuer credit

2016 — Moved to its iconic and environmentally-friendly global headquarters, symbolically built on the same site as the previous head office

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